

Sky High Price Tag: Analyzing SpaceX's Post-IPO Performance and Whether Its \$1.77 Trillion Valuation Holds Up

A Research Paper on SPCX Since Its June 2026 Debut

Why I Picked This Topic

I have been watching the SpaceX IPO rumors for years the way some people watch trade rumors before the NBA draft, so when the company actually filed its S-1 in May 2026 and listed on the Nasdaq under the ticker SPCX on June 12, 2026, I knew I wanted to dig into it for real instead of just reading headlines. This was not a normal IPO. SpaceX raised roughly \$75 billion and debuted at an implied valuation of about \$1.77 trillion, which made it the largest IPO in history by a wide margin, more than three times the size of Alibaba's 2014 offering, which had been the previous record (ValueAdd VC, 2026a).

What makes SpaceX interesting to me is not just the size of the number. It is that the company is not really one business anymore. It launches rockets, it runs the Starlink satellite internet network, and after merging with xAI in February 2026, it also owns a frontier AI lab and the social media platform X (Tunguz, 2026). So when I invest, or in my case when I just study the stock, I am not really betting on rockets. I am betting on rockets, home internet, and a chatbot company all at once, run by the same person who also runs Tesla, Neuralink, and the Boring Company. That combination felt like a genuinely interesting case study in how the market prices a business that does not fit into a normal industry box.

I also picked this topic because I wanted to test my own instincts against real data. My gut reaction when I first saw the \$1.77 trillion number was that it seemed insane for a company that, according to its own filing, lost about \$4.9 billion in 2025 (Beancount.io, 2026). But gut reactions are not analysis, and I wanted to actually look at the stock's trajectory since it started trading, the numbers behind the valuation, and the risks that professional analysts are worried about before I decided whether that instinct was right or just uninformed. This paper is my attempt to work through that question with real evidence. My thesis is that SpaceX's post-IPO stock performance shows a valuation that was priced for near-flawless execution across three very different businesses at once, and that while Starlink's growth genuinely supports a large part of the price tag, the stock's sharp pullback since its June debut suggests the market is already discounting the AI segment's losses and Musk's concentrated control more than early IPO-day enthusiasm implied.

IPO Performance and Stock Trajectory Since Debut

SpaceX priced its IPO at \$135 per share on June 11, 2026, and shares opened for trading the next morning at \$150, an 11 percent pop right out of the gate (Nasdaq Newsroom, 2026). By the end of that first day, the stock had climbed to \$160.95, a 19 percent first-day gain that valued the company at roughly \$2.1 trillion, briefly putting SpaceX ahead of Tesla in market capitalization (Financer.com, 2026). Demand going into the listing was enormous. The order book was reportedly more than two times oversubscribed, with about \$150 billion in orders chasing a \$75 billion raise, and unlike most IPOs, SpaceX set aside around 30 percent of the offering for retail investors through brokerages like Robinhood, Fidelity, and Schwab, which is part of why the retail buzz around this listing felt more like a product launch than a stock offering (Financer.com, 2026).

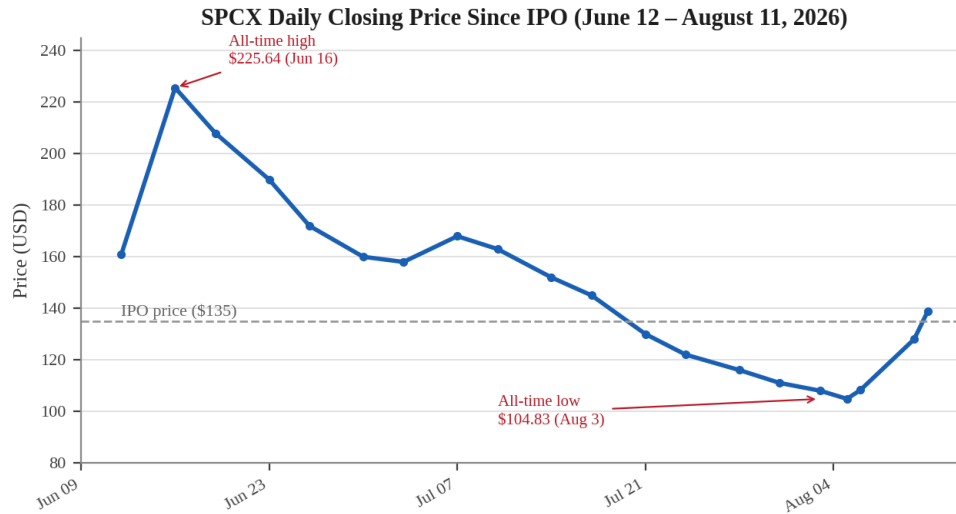


Figure 1. SPCX daily closing price since IPO (approximate, built from reported milestones).

The excitement did not last very long. SPCX hit its all-time high of \$225.64 within days of listing, on June 16, 2026, which was already a 67 percent gain over the IPO price (TradingView, 2026). From there, the stock drifted lower for weeks and then fell sharply after the company's first quarterly earnings report as a public company. Q2 2026 revenue grew an impressive 92 percent year over year to \$7.8 billion and adjusted EBITDA rose 191 percent, but the market reaction was still negative, and the stock hit an all-time closing low of \$108.27 shortly after the print (TradingView, 2026). Making things worse, about 911.5 million shares, worth close to \$100 billion, became unlocked and sellable just two days after that earnings report, which added real selling pressure right when sentiment was already shaky (TradingView, 2026).

As of August 11, 2026, roughly two months after the IPO, SPCX was trading in the \$131 to \$139 range depending on the source and time of day, which puts the stock only slightly above its original \$135 IPO price and about 30 percent below its June debut peak (Investing.com, 2026; Yahoo Finance, 2026). That is a striking round trip for a stock that was supposed to represent one of the safest bets in the market because of SpaceX's dominant position in launch. The 52-week range of \$104.83 to \$225.64 tells the real story better than any single price point does: this has been an extremely volatile stock, with a beta coefficient above 6, meaning it moves more than six times as much as the broader market on average (TradingView, 2026). For context, that volatility is closer to what you would expect from a speculative small-cap biotech stock than from the company that launches the majority of the world's commercial payloads into orbit.

It is worth noting that sentiment has not been entirely negative. Just in the days before I wrote this section, CNBC reported that SPCX had reclaimed the \$135 IPO price for the first time in weeks, and Cathie Wood was quoted arguing that investors were missing a \$28.5 trillion long-term opportunity in the stock (CNN Business, 2026). So the stock's story since the IPO has really been a tug of war between long-term believers in the Starlink and AI growth story and short-term investors nervous about the losses, the lock-up expirations, and the valuation math. That tug of war is exactly what the rest of this paper tries to unpack.

What's Driving the Valuation

To understand whether \$1.77 trillion, or the roughly \$1.8 to \$2.1 trillion range the stock has traded in since, makes any sense, I had to actually look at what is inside SpaceX's business, because it is genuinely three companies stapled together. According to the S-1 filing, SpaceX reported total 2025 revenue of about \$18.7 billion, up 33 percent from \$13.1 billion in 2024, but the company swung from a \$791 million profit in 2024 to a \$4.9 billion net loss in 2025 (Beancount.io, 2026). Adjusted EBITDA, which strips out some non-cash expenses, came in at \$6.6 billion for the year, so the underlying operations are generating real cash even though the accounting net loss looks alarming at first glance (Morningstar, 2026a).

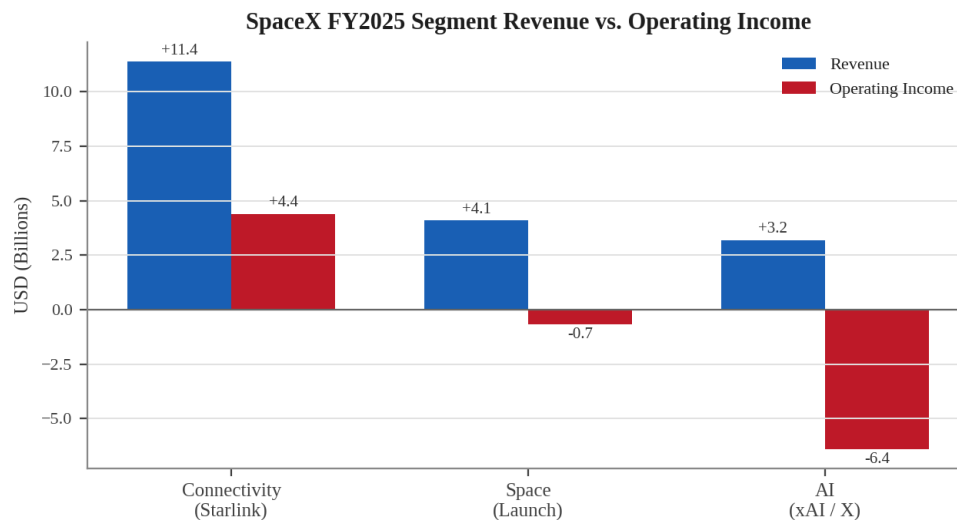


Figure 2. SpaceX FY2025 segment revenue vs. operating income, by segment (S-1 filing).

The segment breakdown explains almost everything about how the market is pricing this stock. Starlink, reported under the Connectivity segment, brought in \$11.4 billion in 2025 revenue, which is about 61 percent of the whole company's revenue, and it grew nearly 50 percent year over year (Via Satellite, 2026). More importantly, Starlink is genuinely profitable on its own, generating about \$4.4 billion in operating income at a 39 percent operating margin (Tunguz, 2026). Subscriber growth backs this up: Starlink went from 2.3 million subscribers in 2023 to about 4.6 million in 2024 to over 10 million by early 2026, spread across 164 countries, running on roughly 9,600 satellites that account for about 75 percent of all active maneuverable satellites currently in orbit (Sacra, 2026; Tunguz, 2026). That is a real, fast-growing, high-margin business, and it is the single strongest argument for the valuation.

The Space segment, meaning the actual rocket launch business that people probably picture when they hear the name SpaceX, is a much smaller and more mature slice of the pie, contributing around 22 percent of revenue. Falcon 9 holds roughly 90 percent of the global commercial launch market by mass, but that revenue line grew only slightly and one analysis even found launch revenue essentially flat between 2024 and 2025, since Falcon 9 is close to its natural ceiling unless Starship opens up meaningfully more capacity (FUNDA, 2026). Starship itself is still burning money, contributing to a roughly \$657 million operating loss in the Space segment tied mostly to research and development (Tunguz, 2026).

Then there is the AI segment, built around the February 2026 merger with xAI and X, which is the newest and by far the most controversial part of the valuation story. It generated \$3.2 billion in 2025 revenue but posted a \$6.4 to \$6.355 billion operating loss, and the segment absorbed \$12.7 billion of the company's \$20.7 billion total capital expenditures, more than 60 percent of everything SpaceX spent on infrastructure that year (Mostly Metrics, 2026; FUNDA, 2026). In plain terms, Starlink's profits are subsidizing xAI's losses. SpaceX is also building a massive 100 million square foot facility in Grimes County, Texas, described as a Terafab meant to produce over a terawatt of AI compute hardware annually for Tesla and SpaceX, and company leadership has talked about a \$100 billion annual revenue run rate target by the end of 2026, though that is clearly an ambitious internal goal rather than a guaranteed outcome (TradingView, 2026).

So when I look at the \$1.77 trillion valuation, I see it as roughly three bets layered on top of each other: a very safe, high-confidence bet on Starlink continuing to grow subscribers and margin, a moderate bet that Falcon 9 and Starship keep SpaceX's launch dominance intact even as the segment matures, and a much riskier bet that xAI eventually turns its enormous capital spending into a real AI business instead of a permanent drag on the balance sheet. The market seems to be pricing all three of those bets as likely to pay off, and the stock's post-IPO volatility suggests investors are actively fighting over how confident that pricing should really be.

Risk Factors and Concerns

Every S-1 has a risk factors section, but SpaceX's is unusually long, running somewhere between 38 and 47 pages depending on which count you use, and it reads like a list of things that would make a normal investor nervous even before getting into the numbers (Moneywise, 2026; ValueAdd VC, 2026b). The single biggest concern raised by nearly every analyst I read is the company's governance structure. SpaceX uses a dual-class share system where Class A shares, the ones sold to the public, carry one vote each, while Class B shares, held mostly by Musk, carry ten votes each (Space Exploration Technologies Corp., 2026). Because of that structure, Musk controls somewhere between 79 and 82 percent of the total voting power while holding only about 42 percent of the actual economic ownership of the company (Augment Markets, 2026; ValueAdd VC, 2026b). That gap between control and ownership means Musk can make virtually any decision, including approving mergers, executive pay, or asset sales, without needing to convince outside shareholders of anything. SpaceX will even qualify as a controlled company under Nasdaq rules, letting it skip several standard corporate governance requirements that apply to most public companies (Space Exploration Technologies Corp., 2026).

Governance experts have pointed out that this arrangement is more extreme than what Musk has at Tesla, where he controls a much smaller share of the vote. Morningstar's Lindsey Stewart described the structure as one that prevents any effective challenge from independent shareholders and effectively entrenches Musk as a CEO who cannot be removed (Morningstar, 2026b). A Harvard Law School governance analysis went further, arguing that because there is no sunset provision written into the charter, this lock on control is designed to last indefinitely, regardless of whether Musk remains the best person to run the company in the future (Bebchuk & Kastiel, 2026). I found this section genuinely eye-opening, because it means that buying SPCX stock is not really buying a normal ownership stake. It is closer to buying a bet on one person's judgment, forever, with essentially no ability to vote him out if that judgment goes wrong.

Related to that is straightforward key-person risk. Musk simultaneously runs SpaceX, Tesla, xAI and X, Neuralink, and the Boring Company, and the S-1 itself acknowledges that his attention is genuinely divided and that his loss, for any reason, could significantly disrupt the company's management and strategic execution (Moneywise, 2026). No other company of SpaceX's size has this level of dependency on a single person who is also actively running several other major companies at the same time (Augment Markets, 2026).

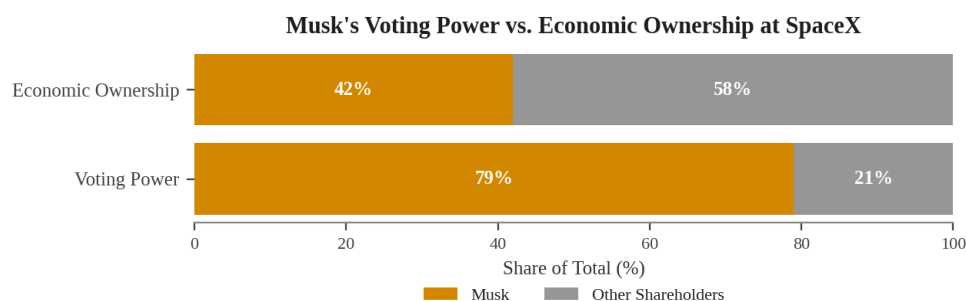


Figure 3. Musk's voting power vs. economic ownership at SpaceX (S-1 filing).

The other major risks fall into three buckets I kept seeing repeated across sources. First is reliance on government contracts and regulation. About one-fifth of SpaceX's 2025 revenue came from U.S. federal agencies, and the company's Starship launch cadence depends heavily on FAA licensing, a process SpaceX has publicly complained slows things down more than actually building the rockets does (Moneywise, 2026; Augment Markets, 2026). That kind of reliance on government relationships and regulatory approval means a shift in federal spending priorities or a slower regulatory environment could directly hit revenue. Second is geopolitical and legal exposure, including a 2024 episode where a Brazilian court froze Starlink's local assets over a dispute connected to X, plus roughly \$530 million in disclosed legal exposure overall (Moneywise, 2026). Third, and probably the most financially serious, is the sheer cash burn tied to Starship development and the AI buildout. Total 2025 capital expenditures hit \$20.7 billion, with the majority going toward AI infrastructure rather than the core rocket or satellite business, and that spending pace, combined with \$29.1 billion in long-term debt as of March 2026, means SpaceX needs its highest-margin business, Starlink, to keep performing extremely well just to keep funding everything else (Via Satellite, 2026; Mostly Metrics, 2026).

Comparison to Another 2026 IPO

To get a better sense of whether SPCX's post-IPO rollercoaster is unusual or just what happens to hyped tech and AI-adjacent IPOs right now, I compared it to Cerebras Systems, an AI chip company that listed on the Nasdaq under the ticker CBRS about a month before SpaceX, on May 14, 2026. Cerebras IPO'd at a much smaller scale, around a \$23 billion valuation, but it had an even bigger first-day pop than SpaceX, jumping about 108 percent on its debut, on the back of 2025 revenue of \$510 million that had grown 76 percent year over year (ValueAdd VC, 2026a).

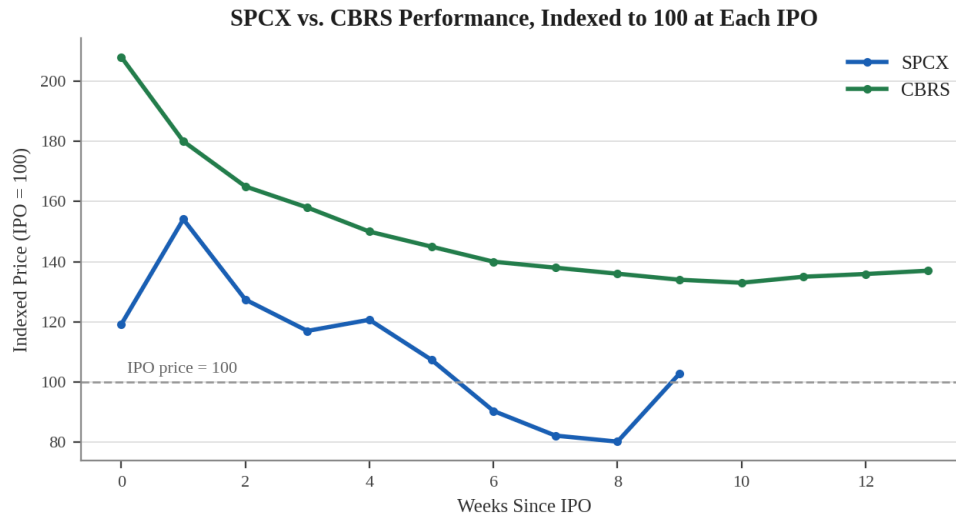


Figure 4. SPCX vs. CBRS performance, indexed to 100 at each company's IPO (approximate, built from reported milestones).

What struck me is how similar the shape of the two stocks' journeys has been despite the massive difference in size. Just like SPCX, Cerebras rocketed up on debut and then gave a lot of that gain back. By early August 2026, Cerebras was trading about 34.7 percent below its debut level, which is actually a slightly bigger pullback than SpaceX's roughly 30 percent decline from its own peak over a similar stretch of time (Yahoo Finance/PitchBook, 2026). Both companies are capital-intensive, AI-infrastructure-adjacent businesses that priced their IPOs during a period of very high investor enthusiasm, and both cooled off hard once the initial hype faded and the market started asking harder questions about spending and margins.

Zooming out to the broader 2026 IPO class makes this pattern look even less like a SpaceX-specific problem and more like a market-wide trend. A Simply Wall St analysis of 25 major 2026 IPOs found an average return of 18 percent since debut, but a median return of negative 17 percent, meaning that a small handful of huge winners like Karman Holdings, up about 364 percent, are dragging the average up while the typical newly public company is actually down (Simply Wall St, 2026). SpaceX, sitting close to breakeven versus its IPO price as of this writing, is roughly in the middle of that distribution, better than the median but nowhere near the outlier winners. This comparison changed how I think about SpaceX's stock chart. Instead of interpreting the 30 percent drawdown from its peak as evidence that something is specifically wrong with SpaceX, it looks more like the standard pattern for 2026's most hyped, most capital-hungry public debuts: a huge first-day pop driven by scarcity and retail excitement, followed by a reality check once quarterly numbers and lock-up expirations start rolling in.

What Would Change My Mind

Right now my read is that the \$1.77 trillion starting valuation was priced for a level of flawless execution across three different businesses that was always going to be hard to sustain, and the stock's performance since June has basically confirmed that the market agrees with me, at least in the short run. But I want to be honest about what could prove this wrong and make me more bullish on SpaceX over time. The clearest positive signal would be Starlink's margins and subscriber growth continuing to hold up even as the market matures, especially in the enterprise and government connectivity side, since the source that impressed me most noted that no enterprise customer paying over \$750,000 a year had voluntarily cancelled Starlink service since 2023 (Mostly Metrics, 2026). That kind of retention is a genuinely strong signal for a subscription business.

I would also watch whether the AI segment's losses start shrinking relative to its revenue over the next few quarters. Right now xAI is burning roughly twice as much as it earns, which is common for a young AI company but cannot continue forever without either slowing capex or dramatically growing revenue. If SpaceX's future earnings calls show that gap narrowing, that would meaningfully support the bull case. On the flip side, if AI capex keeps climbing while AI revenue growth stalls, that would confirm my concern that this segment is more of a permanent drag than a temporary investment phase.

Beyond the financials, I would watch three more things closely. First, whether Starship actually reaches reliable, cost-effective reusability, since that is the technical breakthrough that could meaningfully expand the Space segment beyond its current near-mature revenue level. Second, how the lock-up expirations play out, since roughly \$100 billion of insider shares became sellable in early August 2026 right after a rocky earnings report, and reporting has already noted that retail investors turned net sellers of SPCX for the first time since the IPO around that same period (TradingView, 2026). If insider selling accelerates meaningfully beyond that initial wave, it would be a signal that people closest to the business are not as confident in the long-term story as the public marketing around the IPO suggested. Third, I would watch for any change to the governance structure, however unlikely that seems right now, since even a modest sunset provision on Musk's supervoting shares would meaningfully reduce the single-person risk that shows up throughout the S-1.

Conclusion

Pulling this all together, I think the evidence supports my thesis rather than contradicts it. SpaceX's stock trajectory since its June 12, 2026 debut, a huge first-day pop to \$160.95, a peak near \$225 within days, and then a slide all the way down to an all-time low of \$108.27 before stabilizing back around the original \$135 IPO price, tells the story of a valuation that was set for near-perfect execution and has been getting a more realistic re-rating ever since (Nasdaq Newsroom, 2026; TradingView, 2026). The financial details back this up. Starlink genuinely earns its place in the valuation, with \$11.4 billion in revenue, a 39 percent operating margin, and subscriber growth that shows no signs of slowing (Via Satellite, 2026; Tunguz, 2026). But that strength is being used to fund a launch business that is close to a mature revenue ceiling and an AI segment that lost more than twice what it earned in 2025 (FUNDA, 2026; Mostly Metrics, 2026).

The risk factors section of the S-1 reinforced this further. A governance structure that gives one person around 80 percent of the voting power while he owns less than half the economic value of the company is not a small technical detail, it is a structural reason for the market to demand a discount, or at least extra caution, relative to a normal public company (Augment Markets, 2026; Bebchuk & Kastiel, 2026). And the comparison to Cerebras and the broader 2026 IPO class showed me that SpaceX's post-IPO volatility is not some unique red flag specific to this company, but part of a wider pattern where hyped, capital-intensive tech and AI IPOs pop hard on debut and then get repriced once real numbers replace pure excitement (Simply Wall St, 2026; ValueAdd VC, 2026a).

So is the \$1.77 trillion valuation justified? Based on everything I found, my answer is a qualified no, at least not at the price the stock hit on day one. The Starlink business alone might genuinely be worth a huge number on its own, but paying a trillion-plus-dollar price tag for the whole package means also paying full price for a launch business near its ceiling and an AI bet that is still purely speculative. The market's own behavior since June, sending the stock down roughly 30 percent from its post-IPO peak, suggests that other investors reached something close to the same conclusion once the hype from IPO day wore off. Whether that changes depends entirely on the things I laid out above: Starlink's continued growth, whether xAI's losses start narrowing, and whether Starship can finally deliver the breakthrough that would make the Space segment worth more than its current mature-business numbers suggest.

References

Augment Markets. (2026, May 15). SpaceX S-1 teardown: The filing nobody's seen, reverse-engineered.
<https://augment.market/pulse/spacex-s-1-teardown-the-filing-nobodys-seen-reverse-engineered>

Beancount.io. (2026, July 12). SpaceX's first public earnings: Starlink's \$11.4B profit machine is bankrolling a \$6.4B AI bet.

<https://beancount.io/blog/2026/07/12/spacex-fy2025-earnings-analysis>

Bebchuk, L., & Kastiel, K. (2026, May 19). Top IPO, weak governance. Harvard Law School Forum on Corporate Governance.

<https://corpgov.law.harvard.edu/2026/05/19/top-ipo-weak-governance/>

CNN Business. (2026, August 11). SPCX stock quote price and forecast.

<https://www.cnn.com/markets/stocks/SPCX>

Financer.com. (2026, July). SpaceX stock SPCX 2026: How to buy after the IPO.

<https://financer.com/invest/spacex-ipo/>

FUNDA. (2026, June 3). Deep|SPCX: S-1 analysis.

<https://fundaaai.substack.com/p/deepspcx-s-1-analysis>

Investing.com. (2026, August 11). SpaceX stock: IPO date, share price & news.

<https://www.investing.com/equities/spacex>

Moneywise. (2026, May 21). SpaceX's IPO filing has a whopping 38 pages of risk factors.

<https://moneywise.com/investing/stocks/spacex-ipo-s1-risk-factors-elon-musk>

Morningstar. (2026a, May 22). 6 charts on SpaceX's pre-IPO financials.

<https://www.morningstar.com/stocks/6-charts-spacexs-s-1-financials>

Morningstar. (2026b, May 28). For SpaceX IPO investors, a long list of unfriendly shareholder policies.

<https://www.morningstar.com/stocks/spacex-ipo-investors-long-list-unfriendly-shareholder-policies>

Mostly Metrics. (2026, June 1). SpaceX S-1: Starlink revenue, launch margins, Musk's Mars pay.

<https://www.mostlymetrics.com/p/spacex-ipo-s1-breakdown>

Nasdaq Newsroom. (2026, June 12). SpaceX (SPCX): Rocket company launches historic IPO. Nasdaq.

<https://www.nasdaq.com/newsroom/spacex-ipo-rocket-company-launches-historic-ipo>

Sacra. (2026, August). SpaceX revenue, valuation & funding. <https://sacra.com/c/spacex/>

Simply Wall St. (2026, March 27). How to spot the winners in 2026's IPOs.

<https://simplywall.st/article/how-to-spot-the-winners-in-2026s-ipos>

Space Exploration Technologies Corp. (2026, May 20). Form S-1 registration statement. U.S. Securities and Exchange Commission.

<https://www.sec.gov/Archives/edgar/data/1181412/000162828026036936/spacexplorati/ontechnologi.htm>

TradingView. (2026, August 10). SpaceX stock price, chart & IPO details.

<https://www.tradingview.com/symbols/NASDAQ-SPCX/>

Tunguz, T. (2026, May 21). SpaceX's limitless ambition: An AI conglomerate.

<https://tomtunguz.com/spacex-s1-analysis/>

ValueAdd VC. (2026a, June 24). Biggest IPOs of 2026: SpaceX at \$1.77T, Klarna, Chime + full pipeline.

<https://valueaddvc.com/blog/biggest-ipos-of-2026-klarna-chime-and-who-else-is-filing-this-year>

ValueAdd VC. (2026b, June 14). SpaceX S-1: \$13.5B revenue, 36% EBITDA margins, 2026.

<https://valueaddvc.com/blog/spacex-s1-breakdown-revenue-margins-financials-explained>

Via Satellite. (2026, May 20). SpaceX's IPO filing gives first look into company's financials.

<https://www.satellitetoday.com/finance/2026/05/20/spacexs-ipo-filing-gives-first-look-into-companys-financials/>

Yahoo Finance. (2026, August 11). Space Exploration Technologies Corp. (SPCX) stock price, news, quote & history. <https://finance.yahoo.com/quote/SPCX/>

Yahoo Finance/PitchBook. (2026, July). 5 charts: VC-backed IPOs hit a record 2026, but the aftermath is dimmer.

<https://finance.yahoo.com/markets/stocks/articles/5-charts-vc-backed-ipos-225013160.html>

This paper is an independent student research project prepared for academic purposes. It does not constitute professional financial, legal, or investment advice, and nothing in it should be read as a recommendation to buy, sell, or hold any security. All figures on stock price, revenue, segment performance, and valuation reflect public reporting and company filings available as of August 11, 2026; markets and disclosures change quickly, so some figures may already be outdated, approximate, or subject to revision as SpaceX reports future results. Sources sometimes disagreed with one another, and the most consistent figures across sources were used where possible. Readers should independently verify any figure before relying on it and consult a licensed financial professional before making investment decisions.